

1-3c Second Core Perspective: A Resource-Based View

The institution-based view suggests that the success and failure of firms around the globe are largely determined by their environments. This is certainly correct. Because of their institutions (or specifically, institutional imperfections), India did not attract much FDI prior to 1991 and Japan does not nurture a lot of internationally competitive start-ups. However, insightful as this perspective is, there is a major drawback. If we push this view to its logical extreme, then firm performance around the globe would be *entirely* determined by environments. The validity of this extreme version is certainly questionable.

The resource-based view helps overcome this drawback. While the institution-based view primarily deals with the *external* environment, the resource-based view focuses on a firm's *internal* resources and capabilities. It starts with a simple observation: In harsh, unattractive environments, most firms either suffer or exit. However, against all odds, a few superstars thrive in these environments. For instance, despite the former Soviet Union's obvious hostility toward the United States during the Cold War, PepsiCo began successfully operating in the former Soviet Union in the 1970s (!). In another example, airlines often lose money. But a small number of players, such as Southwest in the United States, Ryanair in Ireland, Hainan in China, and IndiGo in India, have been raking in profits year after year. In the fiercely competitive fashion industry, Zara has been defying gravity. How can these firms succeed in such challenging environments? What is special about them? A short answer is that PepsiCo, Southwest, Ryanair, Hainan, IndiGo, and Zara must have certain valuable and unique *firm-specific* resources and capabilities that are not shared by competitors in the same environments.

Doing business outside one's home country is challenging. Foreign firms have to overcome a

liability of foreignness (The inherent disadvantage that foreign firms experience in host countries because of their non-native status.)

, which is the *inherent* disadvantage that foreign firms experience in host countries because of their non-native status. Just think about all the differences in regulations, languages, cultures, and norms. Think about the odds against Mahindra & Mahindra when it tried to eat some of John Deere's lunch in the American heartland. Against such significant odds, the primary weapons that foreign firms such as Mahindra & Mahindra employ are *overwhelming* resources and capabilities that can offset their liability of foreignness (Figure 1.5). Today, many of us take it for granted that the best-selling car in the United States rotates between the Toyota Camry and the Honda Civic, that Coca-Cola is the best-selling soft drink in Mexico, and that Microsoft Word is the world's number-one word processing software. We really shouldn't. Why? Because it is *not* natural for these foreign firms to dominate nonnative markets. These firms must possess some very rare and powerful firm-specific resources and capabilities that drive these remarkable success stories. This is a key theme of the

resource-based view, which focuses on how winning firms acquire and develop such unique and enviable resources and capabilities, and how competitor firms imitate and then innovate in an effort to outcompete the winning firms.

Figure 1.5

In Every Country, Multinationals Possess Better Management Capabilities than Do Local Firms



In Every Country, Multinationals Possess Better Management Capabilities Than Do Local Firms

Source: Adapted from N. Bloom, C. Genakos, R. Sadun, & J. Van Reenen, 2012, Management practices across firms and countries (p. 23), *Academy of Management Perspectives*, February: 12–33. Sample of 7,262 manufacturing and 661 retail firms, of which 5,441 are purely domestic and 2,482 are foreign multinationals. Domestic multinationals (such as the domestic subsidiaries of Toyota in Japan) are excluded.

Chapter 1: Globalizing Business: 1-3c Second Core Perspective: A Resource-Based View

Book Title: WGU Economics

Printed By: Mike Benton (mbento6@wgu.edu)

© 2021 Cengage Learning, Cengage Learning

© 2026 Cengage Learning Inc. All rights reserved. No part of this work may be reproduced or used in any form or by any means - graphic, electronic, or mechanical, or in any other manner - without the written permission of the copyright holder.